

GOLDMAN SACHS
U.S. FINANCIAL SERVICES CONFERENCE 2014



Doug Peterson – President & CEO
December 9, 2014

McGraw Hill Financial



Comparison of Adjusted Information
to U.S. GAAP Information

This presentation includes adjusted financial measures that are derived from the Company's continuing operations. This non-GAAP information is provided in order to allow investors to make meaningful comparisons of the Company's operating performance between periods and to view the Company's business from the same perspective as Company management.

The Company's earnings release dated October 29, 2014 contains exhibits that reconcile the differences between the non-GAAP measures and comparable financial measures calculated in accordance with U.S. GAAP.

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“Safe Harbor” Statement Under the Private Securities Litigation Reform Act of 1995

This presentation contains “forward-looking statements,” as defined in the Private Securities Litigation Reform Act of 1995. These statements, which express management’s current views concerning future events or results, use words like “anticipate,” “assume,” “believe,” “continue,” “estimate,” “expect,” “future,” “intend,” “plan,” “project” and similar terms, and future or conditional tense verbs like “could,” “may,” “might,” “should,” “will” and “would.” For example, we may use forward-looking statements when addressing topics such as: the outcome of contingencies; future actions by regulators; changes in our business strategies and methods of generating revenue; the development and performance of our services and products; the expected impact of acquisitions and dispositions; our effective tax rates; and our cost structure, dividend policy, cash flow and liquidity.

Forward-looking statements are subject to inherent risks and uncertainties. Factors that could cause actual results to differ materially from those expressed or implied in our forward-looking statements include, among other things:

- the regulatory environment affecting Standard & Poor’s Ratings Services, Platts, S&P Dow Jones Indices, S&P Capital IQ and our other businesses, including new and amended applicable regulations and our compliance therewith;
- the outcome of litigation, government and regulatory proceedings, investigations and inquiries;
- worldwide economic, financial, political and regulatory conditions;
- the health of debt and equity markets, including credit quality and spreads, the level of liquidity and future debt issuances;
- the level of interest rates and the strength of the credit and capital markets in the U.S. and abroad;
- the demand and market for debt ratings in and across the sectors and geographies where we operate;
- the effect of competitive products and pricing;
- the level of success of new product development and global expansion;
- the level of merger and acquisition activity in the U.S. and abroad;
- the volatility of the energy marketplace;
- the health of the commodities markets;
- the strength and performance of the domestic and international automotive markets;
- the level of our future cash flows;
- our ability to make acquisitions and dispositions and to integrate, and realize expected synergies, savings or benefits from, the businesses we acquire;
- our ability to maintain adequate physical, technical and administrative safeguards to protect the security of confidential information and data, and the potential of a system or network disruption that results in regulatory penalties, remedial costs and/or improper disclosure of confidential information or data;
- the level of our capital investments;
- the level of restructuring charges we incur;
- our ability to successfully recover should we experience a disaster or other business continuity problem, such as a hurricane, flood, earthquake, terrorist attack, pandemic, security breach, cyber attack, power loss, telecommunications failure or other natural or man-made disaster;
- changes in applicable tax or accounting requirements;
- the impact on our net income caused by fluctuations in foreign currency exchange issues; and
- our exposure to potential criminal sanctions or civil remedies if we fail to comply with foreign and U.S. laws and regulations that are applicable in the domestic and international jurisdictions in which we operate, including sanctions laws relating to countries such as Iran, Russia, Cuba, Sudan and Syria, anti-corruption laws such as the U.S. Foreign Corrupt Practices Act and the U.K. Bribery Act of 2010, local laws prohibiting corrupt payments to government officials, as well as import and export restrictions.

The factors above are not exhaustive. McGraw Hill Financial, Inc. and its subsidiaries operate in a dynamic business environment in which new risks may emerge frequently. Accordingly, we caution readers not to place undue reliance on the above forward-looking statements, which speak only as of the dates on which they are made. The Company undertakes no obligation to update or revise any forward-looking statement to reflect events or circumstances arising after the date on which it is made. Further information about our businesses, including information about factors that could materially affect our results of operations and financial condition, is contained in the Company’s filings with the Securities and Exchange Commission, including the “Risk Factors” section in our most recently filed Annual Report on Form 10-K.

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- A great portfolio of increasingly interrelated iconic global brands
- Intensive focus on growth and performance
- Track record of delivering strong revenue growth and margin improvement
- 2014 guidance indicates excellent performance:
 - Mid to high single-digit top-line growth
 - Adjusted diluted EPS guidance of \$3.78 – \$3.83
- Strong balance sheet and cash flow enable continued investment while returning cash to shareowners
- Well-positioned to sustain growth

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Growth and Value Plan Delivered Great Returns

	2011*	2013	Change
Revenue (\$M)	\$6,246	\$4,875	-22%
Adjusted Operating Profit (\$M)	\$1,498	\$1,602	+7%
Adjusted Operating Margin	24%	33%	+9 pts
Adjusted Diluted EPS	\$2.91	\$3.33	+14%
Capex (\$M)	\$277**	\$117	-58%

Businesses Divested

BusinessWeek

(2009)

McGraw-Hill
BROADCASTING

(2011)



Education

(2013)



AVIATION WEEK
McGRAW HILL FINANCIAL

(2013)



McGRAW HILL CONSTRUCTION
McGRAW HILL FINANCIAL

(2014)

Figures include McGraw Hill Construction

* Includes McGraw-Hill Education ** Includes investment in prepublication costs

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A Leading Provider of Ratings, Benchmarks, Analytics & Research



STANDARD & POOR'S
RATINGS SERVICES

Leading rating agency



S&P
CAPITAL IQ

Premier provider of high quality data, analytical tools and ratings information



S&P DOW JONES
INDICES

The leading index provider



PLATTS

Principal provider of commodity price assessments and information



J.D. POWER

Primary quality benchmark provider with deep auto expertise



CRISIL
A STANDARD & POOR'S COMPANY

Leading Indian rating agency, analytics and knowledge process outsourcing

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Essential Intelligence



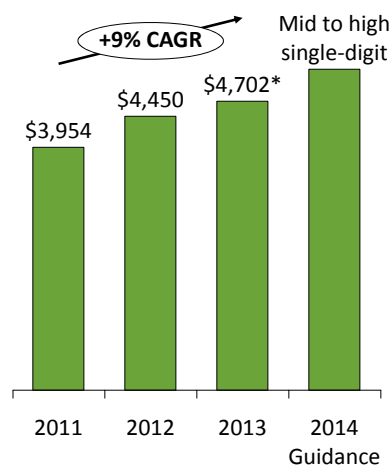
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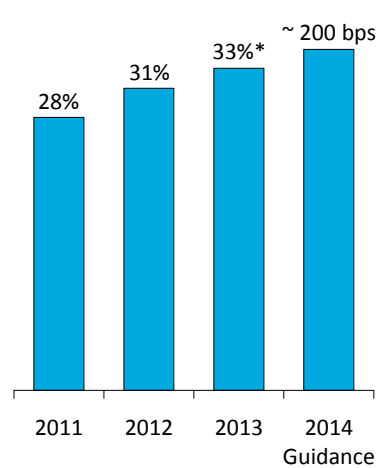


MHFI: A Proven Track Record of Growth

Annual Revenue Growth (\$ in millions)



Adjusted Operating Margin



* McGraw Hill Construction reclassified to discontinued operations

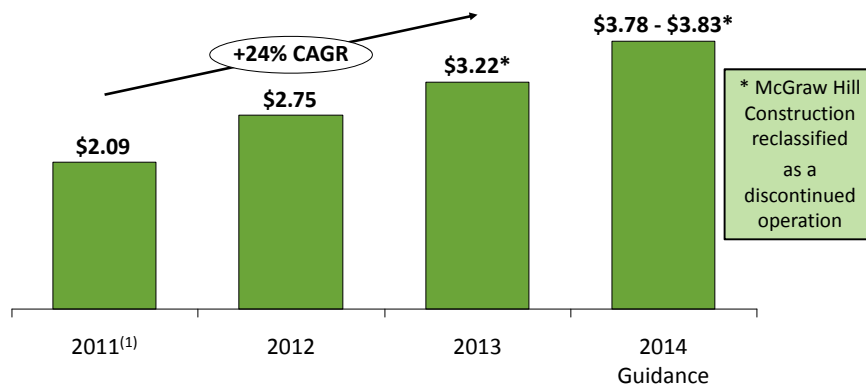
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MHFI: Double-Digit Earnings Growth

Annual Adjusted Diluted EPS



Anticipate free cash flow of approximately \$1 billion in 2014

(1) 2011 adjusted EPS excludes gain on divestiture of Broadcasting

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Secular Market Trends Position MHFI for Sustained Growth



Significant debt maturities and bank deleveraging



Increased investor sophistication requires real-time data and analytics



Capital markets in emerging countries continue to develop



Major resources required for infrastructure



Assets continue to shift to index-related investing



Daily commodity price assessments to deliver transparency and offset volatility



Automotive market strength in Asia and the Americas

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A Truly Global Company



~17,000 Employees

31 Countries

96 Global Offices

North America

Headcount 5,000

Revenue \$ 3.1B

EMEA

Headcount 2,000

Revenue \$ 1.2B

Asia Pacific

Headcount 9,500

Revenue \$ 0.5B

Latin America

Headcount 500

Revenue \$ 0.1B

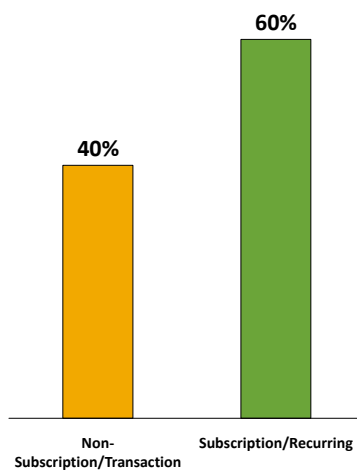
Revenue by Region as of 12/31/2013;
Other totals as of Nov. 2014

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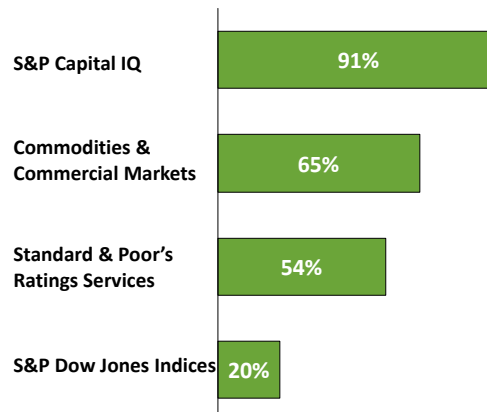


Majority of Revenue is Subscription / Recurring

3Q 2014 YTD Revenue



Subscription/Recurring Revenue by Business Unit



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MHFI: 3Q YTD Results

(\$ in millions)

	2014*	2013*	Change
Revenue	\$3,761	\$3,496	+8%**
Adj. Operating Profit	\$1,371	\$1,207	+14%
Adj. Operating Margin	36.5%	34.5%	+200 bps
Adj. Diluted EPS	\$2.93	\$2.45	+20%

* McGraw Hill Construction reclassified as a discontinued operation

** Organic growth was 9% excluding lost revenue from 2013 portfolio rationalization

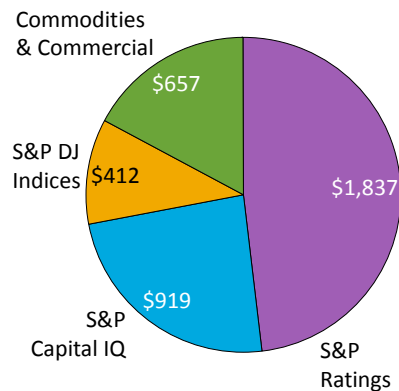
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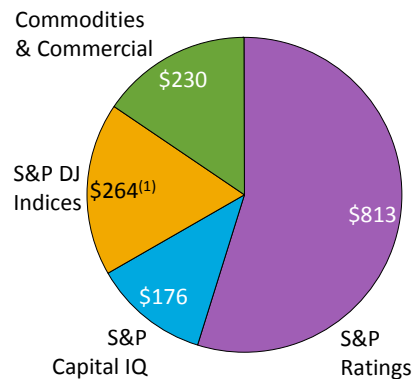


3Q YTD 2014: Results by Line of Business

Revenue: \$3,761M
(\$ in millions)



Adj. Segment Op. Profit: \$1,482M
(\$ in millions)



1) Includes operating profit attributable to the noncontrolling interest of the S&P Dow Jones Indices joint venture of \$70 million
Note: Revenue chart excludes consolidating adjustments and McGraw Hill Construction reclassified as a discontinued operation

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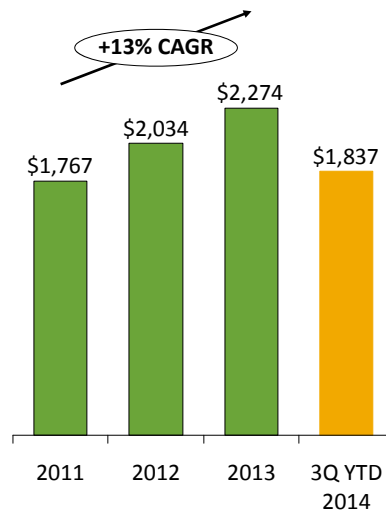


S&P Ratings – Financial Snapshot

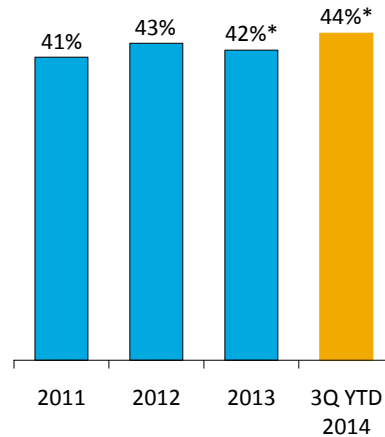


STANDARD & POOR'S
RATINGS SERVICES
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Revenue (\$ in millions)



Adjusted Operating Margin



* Shared operating services allocated to the segments

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Broad and Deep Analytic Coverage



Corporate
Ratings

49,700

Financial
Institutions Ratings

59,000

Insurance
Companies Ratings

7,200

Government
Securities Ratings

918,800

Structured Finance
Ratings

90,000

- Industrials
- Utilities
- Project Finance

- Banks
- Broker / Dealers
- Finance Companies
- Others

- Bond
- Health
- Life
- Property / Casualty
- Reinsurance / Specialty

- International Public Finance
- Public Finance (US)
- Sovereigns

- ABCP
- ABS
- CDO
- CMBS
- RMBS
- Servicer Evaluations

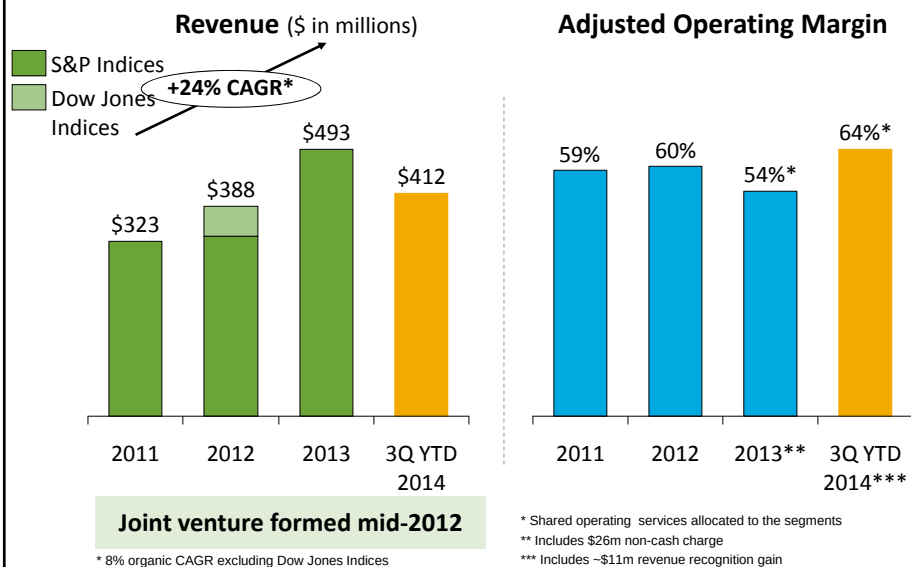
Note: Figures represent transactions outstanding as of 12/31/2013

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- **Well positioned to capitalize on opportunities provided by structural changes in capital markets:**
 - Developing capital markets
 - Bank deleveraging in developed markets
 - Recovery in structured finance
- **YTD 2014 results driven primarily by**
 - Strength in frequent issuer programs, surveillance fees, bank loan ratings, Rating Evaluation Service, and within structured products ABS and CLOs
- **Post-financial crisis litigation continues**





S&P Dow Jones Indices



- **Revenue generated from:**
 - ETF and mutual fund contracts
 - Licensing of indices for derivative trading
 - Profit sharing with exchange partner
 - Data subscriptions
- **YTD 2014 results driven by:**
 - Assets under management in ETFs which increased 25% to a record \$733 billion at end of the quarter
 - Benefit from purchase of intellectual property and more timely revenue recognition of certain products

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Index Innovation Globally Recognized



ETF Index Provider of the Year in Asia – 2014

Index Provider of the Year in Asia – 2013



Best Index Provider 2014 & 2013



Index Provider of the Year – 2014 & 2013



Best Index Provider – Asia Pacific 2014

Best Index Provider – The Americas 2013



Best Islamic Index Provider 2014

Best Index Provider – The Americas 2012

Index Innovation of the Year Asia Award – 2014 & 2013

Index Innovator of the Year, Europe – 2012

Most Innovative Index Provider of the Year – 2012

Best Islamic Index Provider – 2012

Acquisition of the Year – 2012

Lifetime Achievement Award & Indexing Product of the Year – 2012



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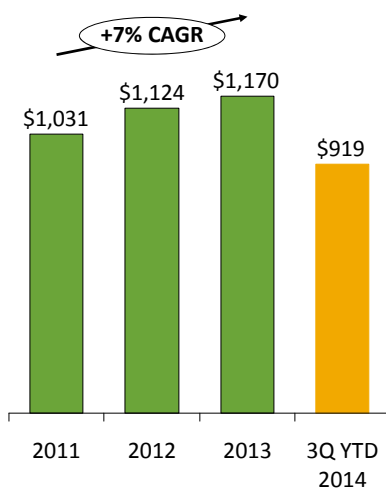
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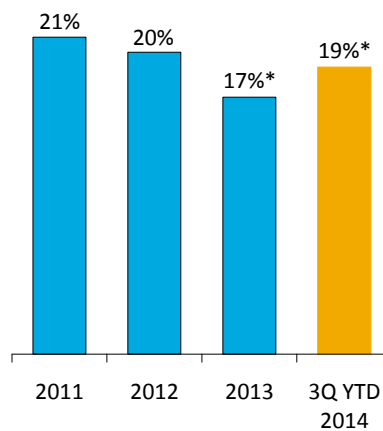
S&P Capital IQ – Financial Snapshot



Revenue (\$ in millions)



Adjusted Operating Margin



* Shared operating services allocated to the segments

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S&P Capital IQ



- Revenue generated from:

S&P Capital IQ Desktop & Enterprise Solutions

- S&P Capital IQ Desktop
- Compustat
- Consolidated Feeds

~60% of Revenue

S&P Credit Solutions

- RatingsDirect®
- RatingsXpress®

~30% of Revenue

S&P Capital IQ Markets Intelligence

- Global Markets Intelligence (GMI)
- Leveraged Commentary & Data (LCD)
- Equity Research Services

~10% of Revenue

- YTD 2014 results driven by:

- Strong growth of S&P Capital IQ Desktop, RatingsXpress®, Leveraged Commentary & Data (LCD)

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C&C Markets – Financial Snapshot

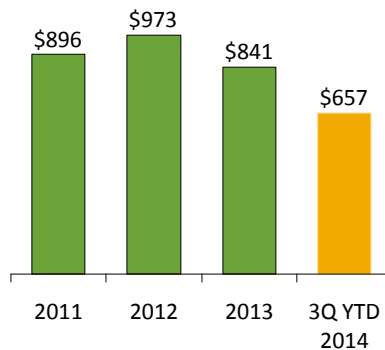


PLATTS
McGRAW HILL FINANCIAL

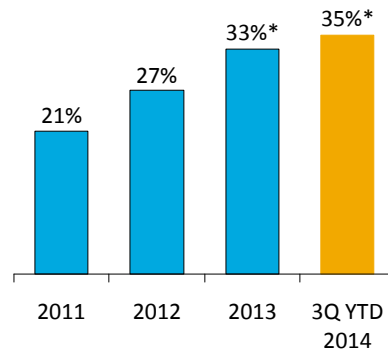


J.D. POWER
McGRAW HILL FINANCIAL

Revenue (\$ in millions)



Adjusted Operating Margin



Comparisons impacted by the sale of Aviation Week in August 2013 and the reclassification of McGraw Hill Construction to discontinued operations in 2013 and 2014

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* Shared operating services allocated to the segments 22



Commodities & Commercial (C&C) Markets

Premier source of benchmarks, high-value information, data, and analytic services



PLATTS
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- Revenue generated from subscriptions and licensing for derivative trading
- Thousands of daily price assessments
- Oil, gas, petrochemicals, steel, agriculture, etc.



J.D. POWER
McGRAW HILL FINANCIAL

- Revenue generated from proprietary research and brand licensing
- J.D. Power expanding rapidly in Asia-Pacific

• YTD 2014 comparisons driven by:

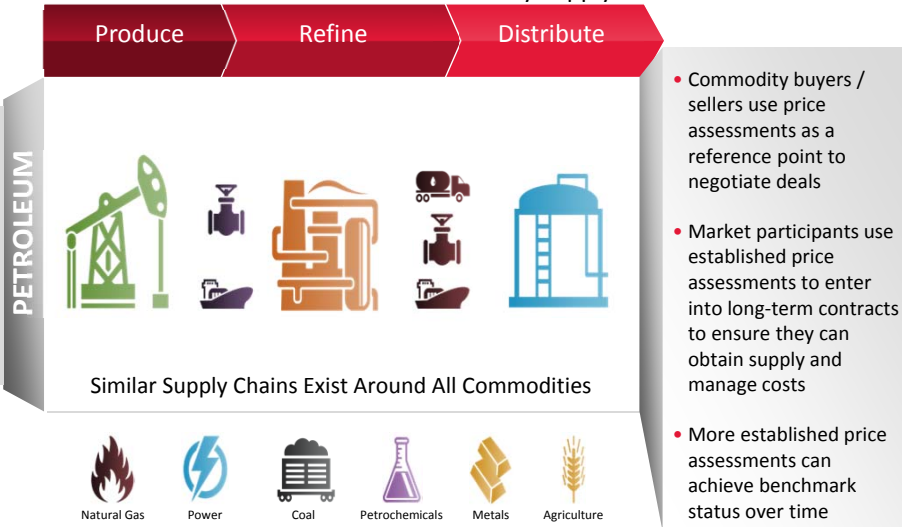
- Double-digit growth of both Platts and J.D. Power as well as the sale of Aviation week in August 2013

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Platts Extends Price Discovery Across Additional Commodities

Platts Assesses Prices Across the Commodity Supply Chain

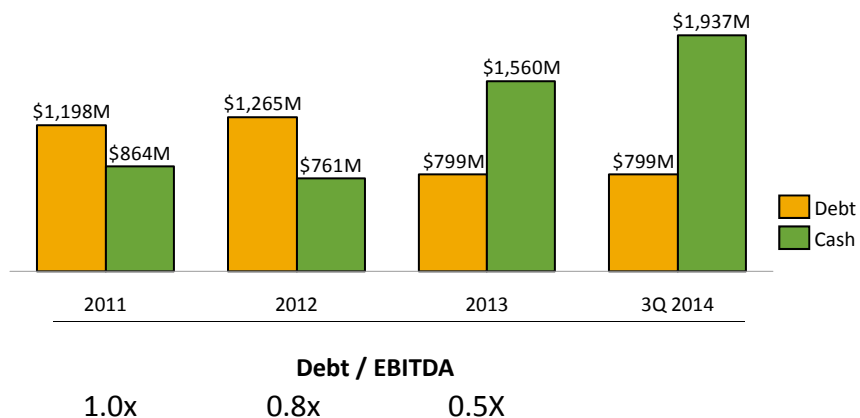


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Enhanced Balance Sheet Strength

Year-End Debt & Cash Positions



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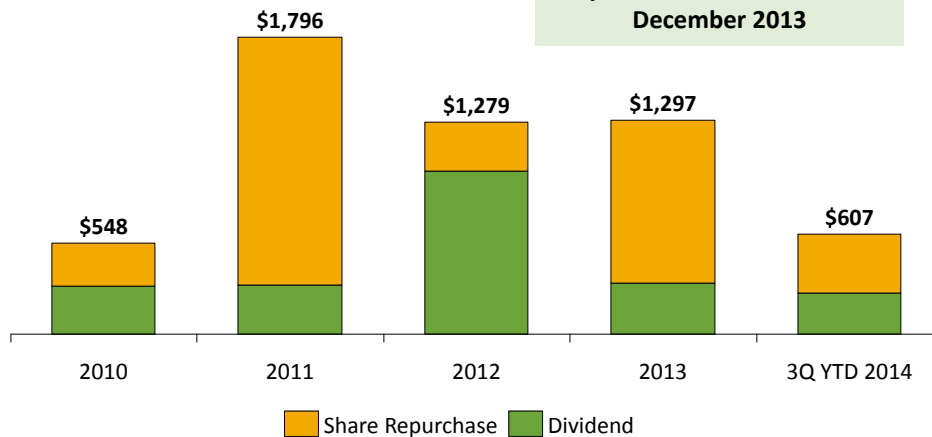
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Returning Substantial Cash to Shareowners

(\$ in millions)

Announced 50 million share repurchase authorization in December 2013



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